ASTANA IT UNIVERSITY ? School of Digital Public Administration

WEEKLY INTEGRATED LEARNING RECORD 3

Week 3: Legal Ownership Structures & Decentralized SME Business Models

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Course:	Business Administration (BA 1204 / BA2026) ? Trimester 1 (2026?2027)
Course Instructors:	Gaukhar Yeshenkulova (Lectures) ? Symbat Ashimkhanova (Practices)
Company B (Focal):	AB Auto (Astana, 4 IPs, Simplified Tax 3%, Koktal 15B)
Company A (Comparator):	Interkom-Auto (TOO, General Tax Regime 12% VAT, >1.3B KZT Taxpayer)

Syllabus Note: *Practice session was not held; Weekly Record 3 was officially waived under course announcement. Recorded under Reduced structure (Fields 1 & 2) synthesizing Assignment 1 foundational legal frameworks and field evidence.*

FIELD 1 ? CONCEPT

In foundational business administration, selecting a **legal form of ownership** represents a strategic trade-off between liability protection, governance complexity, and fiscal maneuverability (OpenStax Ch. 4?5) [1], [2]. The three core institutional archetypes are:

1. **Sole Proprietorship (Individual Entrepreneurship / IP):** Owned and managed by an individual with direct claim on all residual profits. In Kazakhstan, qualified individual entrepreneurs can operate under the **Special Simplified Tax Regime** (Article 683, RK Tax Code), paying a streamlined 3% tax on gross revenue with minimal administrative overhead.
2. **Partnerships:** General or limited associations pooling capital and managerial competencies, but requiring formal governance covenants to manage partner exits and debt distribution.
3. **Limited Liability Partnerships & Corporations (TOO / LLP / Corp):** Separate legal personalities shielding owners behind limited liability, but requiring formal corporate charters, double-entry accrual accounting, audited financial statements, and compliance with statutory VAT and corporate income tax regimes [1].

Concept Check: Why Premature Corporate Consolidation (TOO) Harms SME Automotive Parts Distribution:

While corporate status (TOO) shields owner personal assets, it imposes a severe fiscal and administrative drag on thin-margin inventory distributors. Under Kazakhstan's general regime, a TOO incurs mandatory **12% Value-Added Tax (VAT)**, a **20% Corporate Income Tax (CIT)** on net accounting profit, and complex electronic invoicing (ESF) requirements. For a family-operated SME with rapid inventory turns, the compliance cost (5?8M KZT/year in accounting fees and audit software) and working-capital lockup from VAT cash outflows directly reduce liquidity needed to maintain safety stock of heavy automotive assemblies. Decentralized sole proprietorships preserve single-level 3% tax efficiency, allowing every retained tenge to be immediately redeployed into physical inventory.

FIELD 2 ? APPLICATION (AB AUTO 4-IP AGILITY VS. INTERKOM-AUTO CORPORATE TOO)

AB Auto structures its operations across **four decentralized Individual Proprietorships (IPs)** operating under the 3% Simplified Tax Regime (Form 910.00) across two physical Astanian facilities: the central warehouse hub at **Koktal 15B** (storing high-mass leaf springs, engines, and gearboxes) and the retail counter at **Abylai Khan 62**.

In contrast, comparator **Interkom-Auto** operates as a centralized corporate TOO under the General Tax Regime, paying over **1.3B KZT in annual taxes** with formal enterprise credit committees and centralized SAP/1C ERP databases.

The matrix below contrasts the strategic ownership and operational implications for AB Auto's commercial GAZelle spare parts distribution:

Strategic Dimension	AB Auto (4-IP Simplified Model)	Interkom-Auto (Corporate TOO Model)	Strategic Transfer Verdict
Fiscal Structure & Compliance	4 distinct IPs under Art. 683 (3% revenue tax, 0% VAT); semi-annual Form 910 declarations; zero corporate tax overhead.	Single consolidated TOO (>1.3B KZT taxpayer, 12% VAT + 20% CIT); full corporate ESF audit requirements.	**REJECT** TOO consolidation. Unwarranted 12% VAT and compliance drag would destroy AB Auto's cash reserves and price competitiveness.
Working Capital & Inventory Defense	Maximum liquidity retention directly funds physical stocking of heavy GAZelle leaf springs (*???????*) and clutch kits (*????????* KraftTech/LYNX).	Working capital tied up in corporate tax reserves, centralized warehouse leasing, and automated robotic storage facilities.	**ADOPT** Disciplined working-capital allocation; reinvest tax savings directly into Koktal 15B high-turnover critical chassis components.
B2B Counterparty Governance	Relational trade credit managed via informal ledgers for 4?5 core partner STOs (driving 45% of Koktal B2B wholesale volume).	Algorithmic, automated credit scoring and rigid debt-collection covenants enforced through ERP.	**ADAPT** Digitalization of informal STO credit ledgers into ABPos without imposing corporate credit barriers that alienate mechanics.
Inventory Visibility & Multi-Hub Routing	Dual-hub physical stock (Koktal 15B central + Abylai Khan 62 branch) previously coordinated via 35-min manual phone calls.	Real-time multi-branch enterprise inventory sync with regional transit hubs.	**PILOT** Real-time SQLite/web inventory availability checks between Koktal and Abylai Khan in ABPos to eliminate counter wait times.